

AUSTRALIA 2014

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

1. Overview of the tax-benefit system

The Australian social security system is funded from general taxation revenue and not from employer or employee social security contributions. Duration of payment receipt is generally not time limited, with income support payments being paid subject to the continued meeting of eligibility criteria and means testing arrangements. Additional assistance is available for those paying rent in the private rental market and for families with dependent children, including assistance with child care costs.

The Australian income support system consists of various pensions and benefits, each with its own eligibility. Income support payments do not include spousal assistance and partners of recipients must claim an income support payment in their own right. Income support payments are both income and asset tested with regimes differing depending on whether a payment is classified as a 'pension' or 'benefit'.

Unemployment and parenting payments for members of a couple are 'benefits', while the parenting payment for lone parents is classified as a 'pension'.

Most payments for families with dependent children are subject to income testing either on individual or parental income or the income of the 'second earner'.

1.1 Average Worker wage (AW)

The 2014 AW level is AUD 79,689.¹

2. Unemployment insurance

There is no unemployment insurance.

3. Unemployment assistance

Australia's unemployment payments are Newstart Allowance (NSA) and Youth Allowance (YA) (Other). YA (Other) is generally paid to unemployed people aged 16 to 21 years and NSA is paid to unemployed people aged 22 or over and under Age Pension age (currently 65 for both men and women, rising to 67 between 2017 and 2023).

Parenting Payment (PP) is available to the principal carer of a dependent child aged under six for partnered recipients, or aged under eight for single recipients. Only one parent or guardian can receive the payment.

Recipients of NSA, YA and PP receive tax-exempt Energy Supplements paid fortnightly and an Income Support Bonus (ISB), a tax-exempt payment made twice annually.

Other income support payments for people of workforce age include:

- Special Benefit (see Section 4);
- payments for full-time students, including YA (Student), Austudy and payments under the ABSTUDY scheme;
- payments for people with disability, and carers, including Disability Support Pension (DSP) and Carer Payment (CP);
- Sickness Allowance for people who are temporarily incapacitated and are unable to continue working;
- Widow Allowance for women born on or before 1 July 1955 if widowed, divorced or separated and without recent workforce experience;
- Partner Allowance for people born on or before 1 July 1955 whose partner is receiving either a pension, allowance, Austudy or ABSTUDY (no longer open to new entrants); and
- Wife Pension, for partners of Age Pension and DSP recipients, which is also closed to new entrants.

1. AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2010-2011*, OECD, 2012, part 5, sections 2 and 3

3.1 Conditions for receipt

All income support payments are flat-rate, in that they do not reflect prior work history or social security contributions. However, rates of payment are dependent on age, partnered status, presence of dependent children, whether people are renting in the private rental market and, for YA recipients, whether they live with or are dependent on their parents. Rates of payment are subject to personal and partner income testing with dependent YA recipients also subject to parental means testing arrangements. Social security benefits are not payable if assets exceed specified levels.

Newly arrived migrants must generally serve a two-year waiting period prior to receiving payment, except where individuals are given refugee or humanitarian status. Customers may also be subject to various other waiting periods. See Section 3.4.

To receive payment, an unemployed person (NSA or YA (Other) recipient) must be actively seeking suitable work or undertaking an activity to improve their employment prospects and must be available for, and willing to accept, suitable work, including part-time and casual employment. Early School Leavers, that is young people under 22 receiving YA (Other) without a Year 12 certificate or a Certificate II qualification, must be participating in full-time training or education, or part-time education or training in combination with other suitable activities, until they obtain a Year 12 certificate or equivalent qualification. In certain circumstances, recipients may be exempted from meeting any or full activity test requirements (e.g. where they are temporarily incapacitated by injury or illness, personal crisis or caring duties).

PP recipients, both single and partnered, are generally transferred to NSA, if eligible, once their youngest child turns six for partnered parents, or eight for lone parents. Further information on PP (Single) for lone parents is at Section 9.

Most benefits are income tested, and unemployment and parenting payments are also not payable if assets exceed specified value limits. The asset value limits vary depending on whether the payment recipient is single or partnered and whether the person is a homeowner or non-homeowner. For partnered recipients, the asset test applies to the combined assets of the claimant and their partner. The value of the 'principal home' is exempt from the asset test. As at 30 June 2014, the value limits are as follows:

- Single (for full pension or allowance): homeowner AUD 196,750, non-homeowner AUD 339,250.
- Partnered (combined) (for full pension or allowance): homeowner AUD 279,000, non-homeowner AUD 421,500.

Higher asset limits apply for eligibility to a part pension with the exception of PP (Single) pension payments, which have the same asset limits as benefits.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Basic payment rates for NSA, PP (Partnered) and YA (Other) as of 30 June 2014 are listed below. Supplementary payments, such as Commonwealth Rent Assistance (CRA) (see Section 5) and Pharmaceutical Allowance, may also be payable depending on the person's circumstances. Payments are made on a fortnightly basis.

Recipients of NSA, PP (Partnered) and YA are also eligible to receive the Energy Supplement as part of their payment. The Energy Supplement is added to the basic payment rate and income tested as part of the payment. For more information, please see 'A guide to Australian Government payments', at <http://www.humanservices.gov.au/corporate/publications-and-resources/a-guide-to-australian-government-payments>.

Reference date for all information is **June 30th 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Basic rates (YA, NSA, PP (Partnered) and Energy Supplement) (in AUD):

Youth Allowance (YA)	(fortnightly)	(per month)	Energy Supplement (fortnightly)	Energy Supplement (per month)	Total (fortnightly)	Total (per month)
Single, under 18, at home*	226.80	491.40	3.90	8.45	230.70	499.85
Single, 18 and over, at home*	272.80	591.07	4.60	9.97	277.40	601.04
Single, away from home	414.40	897.87	7.00	15.17	421.40	913.04
Single, with dependent child(ren)	542.90	1,176.28	9.20	19.93	552.10	1,196.21
Single, principal carer of a dependent child (granted an exemption for foster caring/home schooling/distance education/large family)	713.20	1,545.27	11.90	25.78	725.10	1,571.05
Partnered, no dependent child(ren) (each)	414.40	897.87	7.00	15.17	421.40	913.04
Partnered, with children (each)	455.00	985.83	7.70	16.68	462.70	1,002.51

Newstart Allowance (NSA)	(fortnightly)	(per month)	Energy Supplement (fortnightly)	Energy Supplement (per month)	Total (fortnightly)	Total (per month)
Single, 22 and over, no children	510.50	1,106.08	8.70	18.85	519.20	1,124.93
Single, 22 and over, with dependent child(ren)	552.40	1,196.87	9.40	20.37	561.80	1,217.24
Single, 60 and over, after 9 months on payment	552.40	1,196.87	9.40	20.37	561.80	1,217.24
Partnered, 22 or over (each)	460.90	998.62	7.80	16.90	468.70	1,015.52
Single, principal carer of a dependent child (granted an exemption for foster caring/home schooling/distance education/large family)	713.20	1,545.27	11.90	25.78	725.10	1,571.05

Parenting Payment (PP)	(fortnightly maximum rate)	(per month)	Energy Supplement (fortnightly)	Energy Supplement (per month)	Total (fortnightly)	Total (per month)
Partnered	460.90	998.62	7.80	16.90	468.70	1,015.52

* Commonwealth Rent Assistance is unavailable where a young person receives an 'at home' rate of payment.

Note: Payments are made fortnightly. Monthly rates are 26 times the fortnightly amount divided by 12.

Source: A guide to Australian Government payments.

Rates of supplementary payments (ISB) (in AUD):

Income Support Bonus (ISB)	(bi-annually)
Single	107.80
Member of a couple	89.90

Source: A guide to Australian Government payments.

3.2.1.1 *Irregular additional payments*

Pensioner Education Supplement

Pensioner Education Supplement (PES) is designed to help certain disadvantaged groups, such as lone parents and people with disability with the costs of approved study. Pensioner Education Supplement is paid fortnightly at a full rate of AUD 62.40 or part rate of AUD 31.20 per fortnight depending upon the recipient's study load.

Education Entry Payment

Education Entry Payment is payable once every 12 months as a lump-sum of AUD 208 for eligible recipients (including NSA and PP recipients) who are undertaking approved study.

Skills for Education and Employment

Participants in the Skills for Education and Employment program are eligible for a supplement of AUD 20.80 per fortnight.

Approved Program of Work Supplement

Job seekers participating in Work for the Dole (including full-time Work for the Dole and Drought Force), Green Corps, Community Development Employment Projects, Remote Jobs and Communities structured activities, and Remote Youth Leadership and Development Corps are paid a supplement of AUD 20.80 per fortnight.

3.2.1.2 *Obligations of family members*

In the Australian social security system, payments are based on individual entitlement; therefore payments for each member of a couple are determined individually. The interactions of the income and asset tests mean that earnings of one member of a couple can reduce, or extinguish, the rate of payment of the other member of the couple where a threshold limit is exceeded. Where one member of a couple does not meet the eligibility criteria, the other member of the couple may still qualify for payment. As shown in Section 3.2.1, payment amounts for individual members of a couple are lower than amounts paid to single individuals.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Benefit receipt and rates of payment are determined by the operation of income and assets tests. Income for the purposes of income support income tests is 'ordinary income'. This concept differs to that used for taxation and family assistance purposes. 'Ordinary income' includes employment, financial investment income and various other sources of income not considered taxable income. Ordinary income

excludes child maintenance income and other social security payments. Income is generally assessed in the first fortnight it is earned, derived or received.

The personal income test for unemployment payment recipients NSA and PP (Partnered) has an income disregard or 'free area' of AUD 100.00 per fortnight. Each dollar of income above AUD 100.00 and up to AUD 250.00 reduces the rate of payment by 50 cents. Thereafter the withdrawal rate for payments is 60 cents in the dollar.

The personal income test for YA (Other) has an income disregard or 'free area' of AUD 143.00 per fortnight. Each dollar of income above AUD 143.00 and up to AUD 250.00 reduces the rate of payment by 50 cents. Thereafter the withdrawal rate for payments is 60 cents in the dollar.

A recipient's partner can also earn an amount before their income affects the recipient's income support payment. Partner income above the partner income 'free area' of AUD 894.00 per fortnight reduces the rate of the recipient's payment by 60 cents in the dollar. This means that the partner of a NSA recipient could earn up to AUD 1,675.17 per fortnight before the recipient's payment is reduced to zero. This may be higher if the recipient is eligible for supplementary benefits.

YA for dependent young people is subject to the personal income test and parental means testing arrangements that include parental income and family asset tests.

A recipient's rate of payment may also be affected by the operation of 'Working Credit'. Working Credit allows recipients to build up a credit of up to AUD 48 of their unused income disregard (or free area) per fortnight, up to a maximum of AUD 1,000. A recipient's Working Credit balance can be used to increase the amount they can earn before their income support payment is reduced. For example, an NSA recipient with a Working Credit balance of AUD 200 can earn AUD 300 for a given fortnight (i.e. the amount of the recipient's Working Credit balance plus the relevant fortnightly ordinary income free area) before their payment starts to reduce for that fortnight.

3.3 Tax treatment of benefit and interaction with other benefits

NSA, YA and PP (Partnered) are taxable payments. However, a tax rebate (or tax offset) operates so that a person in receipt of an income support payment for the entire income tax year does not pay tax on that payment (see Section 10.1.1.2).

3.4 Benefit duration and waiting periods

While there are generally no restrictions on the duration of unemployment payments, and recipients can re-apply for benefits after periods of ineligibility, recipients may be required to serve a waiting period, or periods, prior to payments commencing if they do not meet various hardship or waiver criteria. Waiting periods may apply in the following circumstances:

- A one-week waiting period for NSA or Sickness Allowance generally applies after lodgement of an application form.
- A 'liquid asset waiting period' may apply if a person has liquid assets beyond a set level on the day they or their partner become unemployed or incapacitated, or on the day the person lodged their claim. The maximum waiting period is 13 weeks. Liquid assets include cash, shares and debentures, and bank (including term) deposits. The thresholds are AUD 5,500 for singles and AUD 11,000 for couples or singles with dependants.
- A 'seasonal work preclusion period' will generally apply if a person or their partner is engaged in high-income seasonal work in the six months prior to claim.
- A person who reduces their likelihood of getting a job without sufficient reason by relocating to an area with lower employment prospects will have to wait up to 26 weeks before receiving payment.

- A participation payment is not payable to a person for eight weeks if that person became unemployed due to a voluntary act or because of misconduct. However, the preclusion period does not apply if the voluntary act was reasonable or if the work was unsuitable for the person.
- Newly Arrived Resident's Waiting Period (NARWP) – New Australian residents granted permanent residence are subject to the NARWP of 104 weeks prior to receiving income support payments. This may not apply in certain circumstances.
- If a person receives a termination payment from their previous employment, including annual leave, long service leave, sick leave, maternity leave or a redundancy payment, they may have to serve an 'income maintenance period' during which these entitlements are apportioned and treated as income. The income maintenance period is equal to the leave period to which the termination payment relates. During this period, the claimant may receive either a reduced rate of benefit, or no payment at all, depending on the value of their termination payments.

3.5 Treatment of particular groups

3.5.1 Young persons

YA (Other) has parental means testing arrangements for young people who have not met specified independence criteria. Parental income, asset and actual means testing do not apply where a parent receives an income support payment. Partner means testing may also apply if the applicant is independent.

3.5.2 Full-time students

Students may receive YA (Student) if they are aged 16-24 and meet the personal and/or parental (if dependent) income, asset and actual means tests. For students aged 25 or over, Austudy is available. ABSTUDY is also available to Aboriginal or Torres Strait Islander students aged 16 and over. Partner means testing may apply if the applicant is independent.

3.5.3 Older workers

Single allowees aged 60 or over are eligible for a higher rate of payment after receiving income support for nine continuous months.

Partner Allowance may be payable to partners of income support recipients, if they have no recent workforce experience and were born on or before 1 July 1955. From 20 September 2003, Partner Allowance is closed to new entrants.

Widow Allowance is payable to women with no recent workforce experience who were widowed, divorced or separated since turning 40 years of age and born on or before 1 July 1955.

3.5.4 Disability

Disability Support Pension (DSP) is a payment for people with a permanent physical, intellectual or psychiatric impairment that prevents them from working 15 hours or more a week, or from being re-skilled for work for the next two years; or who are permanently blind. A claimant must be aged 16 years or older but under Age Pension age when claiming DSP.

3.5.5 Carers

Carer Payment is a pension payment that provides income support to carers who, due to the demands of their caring role, are unable to support themselves through substantial paid employment.

Carer Allowance is an income supplement which is not taxable or income and assets tested. It is available to carers who provide daily care and attention in a private home to a person with disability or medical condition. Carer Allowance can be paid in addition to a social security income support payment.

There is also a Carer Supplement which is paid to recipients of Carer Allowance for each person they care for and to recipients of Carer Payment. To qualify, the carer must be in receipt of Carer Allowance and/or Carer Payment for a payment period that includes 1 July.

3.5.6 Others if applicable

Lone parents may be eligible for PP (Single) (see Section 9).

4. Social assistance

The benefits described in Sections 3, 5, 6 and 9 are flat-rate means-tested benefits that do not depend on prior work history or social security contributions, and provide quite comprehensive coverage for low income working age Australians. Consequently, modelling results for social assistance payments reflect the benefits described in sections 3, 5, 6 and 9, and do not include Special Benefit. Special Benefit serves as a benefit of last resort. It is paid to people in severe financial hardship, who have no other means of support and for whom no other benefit is available.

4.1 Conditions for receipt

Special Benefit is not payable if assets exceed specified levels (see social security benefit asset test limits in Section 3.1). People receiving Special Benefit who are considered capable of working are expected to look for work and accept offers of suitable employment.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The rate of Special Benefit is discretionary; however, the maximum rate cannot exceed the rate of NSA or YA that the person would receive if they were eligible. A direct deduction income test applies to Special Benefit. This means that all regular in-kind support and personal income, whether earned or unearned, reduces the Special Benefit rate by that amount. There is no allowable income free area and no taper rate.

4.3 Tax treatment of benefit and interaction with other benefits

Special Benefit is taxable; however a tax rebate may be available (see Section 10.1.1.2).

4.4 Benefit duration and waiting periods

Special Benefit is generally granted for periods of 13 weeks. An entitlement review is conducted every 13 weeks to determine whether payment should continue.

People holding certain temporary protection visas who were granted Special Benefit after 1 January 2003, or who became of working age after this date, are subject to activity tests similar to the NSA activity tests. These people are also subject to certain preclusion or waiting periods.

4.5 Treatment of particular group

Not applicable.

5. Housing benefits for rented accommodation

Housing assistance exists in two main forms: Commonwealth Rent Assistance (CRA), and public housing provided by state and territory governments with financial assistance from the Australian Government.

5.1 *Conditions for receipt*

Commonwealth Rent Assistance is a non-taxable income supplement paid to eligible individuals and families who rent in the private rental market and community housing. For private renters, the CRA may be paid to eligible recipients of social security pensions and benefits, and with the maximum Family Tax Benefit Part A rate.

State and territory governments provide public and community housing to households subject to various eligibility criteria and housing stock availability. The Australian Government provides financial support for this through a joint Commonwealth-State *National Affordable Housing Agreement*.

5.2 *Calculation of benefit amount*

5.2.1 *Calculation of gross benefit*

CRA is paid at the rate of 75 cents for every dollar of rent paid above the specified minimum rent threshold until the maximum rate is reached. The maximum rates and minimum rent thresholds vary according to a person's family situation, i.e. single or couple and the number of children they have and, for singles without children, whether accommodation is shared with other adults.

Commonwealth Rent Assistance

Rates at 30 June 2014 (in AUD)

Family situation	Maximum payment per fortnight	No payment if fortnightly rent is less than	Maximum payment if fortnightly rent is more than
Single, no children	126.40	112.00	280.53
Single, no children, sharer	84.27	112.00	224.36
Couple, no children*	118.80	182.40	340.80
Single, 1 or 2 children	147.98	147.56	344.87
Couple, 1 or 2 children	147.98	218.40	415.71
Single, 3 or more children	167.30	147.56	370.63
Couple, 3 or more children	167.30	218.40	441.47

Source: A guide to Australian Government payments.

*Other rates of payment are available for couples separated due to illness or temporarily separated.

5.2.2 *Income and earnings disregards*

CRA does not have a separate income or assets test, however, the rate of CRA payable may be affected by the income or assets test applicable to the primary payment with which it is paid.

Public housing rents and rebate structures are set and operated by state and territory governments at levels that ensure that tenants pay no more than between 20-25 per cent of their net income in housing costs. Net income for public rent purposes generally includes adult income support payments and some or all of Family Tax Benefit.

5.3 Tax treatment of benefit and interaction with other benefits

CRA is not taxable.

6. Family benefits

Family Tax Benefit Part A (FTB Part A) is provided to families with children, subject to a family income test, and includes additional supplements for large families. Family Tax Benefit Part B (FTB Part B) is paid to families with one main income, including lone parents. Families may be eligible for one or both of these benefits depending on their circumstances.

Family Tax Benefit is paid either fortnightly based on an estimate of 'adjusted taxable income', or as a lump sum after the end of the financial year, when final taxable income is known. An end of year supplement is available for FTB Part A and FTB Part B when payments are reconciled following the lodgement of tax returns. Payments may also be reconciled using an income assessment if a family does not need to lodge a tax return. Family Tax Benefit (FTB) recipients are eligible for the Energy Supplement (see Section 3 for further information).

The Schoolkids Bonus provides additional assistance for parents and carers of eligible school aged children.

The Paid Parental Leave scheme provides financial support to working parents to take time off work to care for a new-born or recently adopted child. Parental Leave Pay provides support to working mothers and Dad and Partner Pay provides support to working fathers or partners.

Families who do not claim Parental Leave Pay may be eligible to have their FTB Part A increased with the Newborn Supplement following a birth or adoption.

Double Orphan Pension (DOP) is a fortnightly payment of AUD 59.30 available for carers of children who are orphaned; or for carers of children who have one parent deceased and the whereabouts of the other parent is unknown, or the other parent is in prison for at least ten years, or a patient of a psychiatric hospital or nursing home indefinitely.

The Single Income Family Supplement (SIFS) provides assistance of up to AUD 300 a year for families with a primary earner earning between AUD 68,000 and AUD 150,000.

6.1 Conditions for receipt

To receive FTB Part A, a family must have a qualifying child aged up to 19 years. A child is not a qualifying child for FTB purposes if they receive an income support payment in their own right or they are aged 16-19 and not in full-time secondary study. Families eligible for FTB Part A may also be eligible to receive the Schoolkids Bonus for each dependent child in primary or secondary study.

To receive FTB Part B, a family must have a qualifying 'FTB child' aged under 16 years, or a dependent full-time student up to the age of 18.

A person may be eligible for Parental Leave Pay if they are the primary carer of a new-born or recently adopted child, usually the mother, and had an individual adjusted taxable income of AUD 150,000 or less in the financial year prior to the date of birth or adoption, or the claim date. The recipient must also be on leave or not working during their Parental Leave Pay period, and met other prior work test criteria.

A person may be eligible to receive Dad and Partner Pay if they are the biological father of the child, or the partner of the birth mother, or an adoptive parent and caring for the child. The recipient must also be on unpaid leave or not working during their Dad and Partner Pay period.

SIFS provides assistance to families with a qualifying child, where the primary earner has a taxable income between AUD 68,000 and AUD 150,000. The taxable income of a second earner (if any) may affect the payment.

6.2 Calculation of benefit amount

The amount of Family Tax Benefit that families receive varies according to the number, ages and personal circumstances of the children, and the personal circumstances and income of parents.

The Schoolkids Bonus is paid in two equal instalments each year of:

- AUD 205 for each eligible child in primary study (AUD 410 per year), and
- AUD 410 for each eligible child in secondary study (AUD 820 per year).

The Schoolkids Bonus is payable for eligible primary and full-time secondary students for whom families are receiving FTB Part A, or who are themselves eligible for Youth Allowance, ABSTUDY Living Allowance, Disability Support Pension, Carer Payment, Parenting Payment or Special Benefit.

The Newborn Supplement is AUD 2,001.59 for the first child and AUD 1,000.50 for subsequent children.

Eligible working parents receive Parental Leave Pay at the rate of the National Minimum Wage, AUD 622.10 a week before tax, for a period of up to 18 weeks.

Eligible working dads or partners receive Dad and Partner Pay, at the same rate as Parental Leave Pay, for a period of up to two weeks.

The rate of SIFS is determined based on the taxable incomes of both the primary and second earner. If the primary earner's taxable income is greater than AUD 68,000, the rate increases from nil by 2.5 cents in the dollar until it reaches a maximum of AUD 300 at a taxable income of AUD 80,000. Taxable income in excess of AUD 120,000 reduces the payment by one cent in the dollar until the Supplement cuts out at AUD 150,000. If the claimant is a member of a couple, the rate payable based on the primary earner's taxable income is also reduced by the second earner's taxable income. If the second earner's taxable income exceeds AUD 16,000, the rate reduces by 15 cents in the dollar, until the rate reaches nil.

6.2.1 Calculation of gross benefit

Family Tax Benefit (FTB)

The maximum rate of FTB Part A comprises a rate paid for each dependent child, and the Large Family Supplement for families with three or more children aged under 16 years (or 18 years if in full-time secondary study). For private renters, FTB Part A also includes Commonwealth Rent Assistance (CRA), calculated as outlined in Section 5. Newborn Supplement provides an increase in FTB Part A for up to 13 weeks for families that claim it for a birth or adoption. Family Tax Benefit Part A is also available at a lower per child 'base rate' of payment that is subject to an income test with a higher income free area. The base rate of payment for a family is calculated as the sum of the base rates for all FTB children and may also include Large Family Supplement.

Family Tax Benefit Part B is a family-based payment with a maximum rate of payment based on the age of the youngest child. The 2013-14 maximum rates of FTB are outlined in the following tables. The fortnightly rates of FTB Part A and FTB Part B exclude the 'per child' FTB Part A supplement and the 'per family' FTB Part B supplement, as the supplements can only be paid after the end of the income year when family income can be fully assessed.

Reference date for all information is **June 30th 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2013-14 rates (in AUD)

Family Tax Benefit Part A

	Fortnightly rate	Yearly rate**
Child under 13*	175.56	5,303.45
Child 13-15*	228.34	6,679.50
Child 16-19 secondary student, or exempt from requirement*	228.34	6,679.50
Child 16-17 completed Year 12 or equivalent*	56.56	2,200.95
Large Family Supplement (for third and subsequent children)	12.04	313.90
Base rate for each child*	56.56	2,200.95

Family Tax Benefit Part B

Age of youngest child	Fortnightly rate	Yearly rate***
Under 5 years*	149.10	4,241.30
5 - 15 years, (or 16 - 18 years if a full-time student)*	104.16	3,069.65

* The FTB Part A and B per fortnight and per year figures include the Energy Supplement.

**The FTB Part A per year figures include the FTB Part A Supplement (AUD 726.35 per child) but the fortnightly figures do not.

***The FTB Part B yearly figures include the FTB Part B Supplement of AUD 354.05 per year but the fortnightly figures do not.

Source: A guide to Australian Government payments.

6.2.2 *Income and earnings disregards*

FTB Part A and its components (CRA, Newborn Supplement and Large Family Supplement) are income tested. Income for the purposes of FTB income tests is 'adjusted taxable income' (ATI) and includes taxable income, target foreign income, certain employer provided fringe benefits, certain tax-free pensions or benefits, reportable superannuation contributions and total net rental property losses, minus any child support paid. FTB Part A is subject to a family income test and a maintenance income test. 'Family income' is the ATI of the parent claiming payment and their partner.

The family income test does not apply to those who receive, or whose partners receive, an income support payment such as a social security pension or benefit, or to families with income below AUD 48,837. Each dollar of family income above AUD 48,837 reduces the maximum rate of FTB Part A by 20 cents in the dollar. The payment rate is calculated using this income test until the rate is reduced to the base (or minimum) rate of FTB Part A for the family.

The base rate of FTB Part A is available until family income reaches AUD 94,316 per year (plus AUD 3,796 for each FTB child after the first). FTB Part A is then reduced by 30 cents for every dollar over that amount until the payment reaches nil.

Maintenance income above specified income disregards (or free areas) reduces the maximum rate of FTB Part A (including Rent Assistance) by 50 cents in the dollar until the base rate of FTB Part A for the family is reached.

Income limit beyond which only base rate of Family Tax Benefit Part A is paid (in AUD per year).

Number of children 0-12 years	Number of children 13-15 years or secondary students 16-19 years			
	None	One	Two	Three
None		71,230	93,623	n/a
One	64,350	86,743	n/a	n/a
Two	79,862	n/a	n/a	n/a
Three	95,375	n/a	n/a	n/a

Note: The income limit is higher if the claimant is eligible for CRA.

Income limit at which Family Tax Benefit Part A stops* (in AUD per year)

Number of children 0-12 years	Number of children 13-15 years or secondary students 16-19 years			
	None	One	Two	Three
None		101,653	115,632	150,599
One	101,653	112,785	143,719	178,686
Two	112,785	136,839	171,806	206,773
Three	129,959	164,926	199,893	234,860

* Income limits include the effect of the 'per child' AUD 726.35 per year FTB Part A supplement. Families with income approaching these amounts may only be paid FTB Part A at the end of the income year and not as fortnightly payments.

Source: A guide to Australian Government payments.

Family Tax Benefit Part B for couple families has two income tests. Eligibility is restricted to families where the primary income earner earns less than AUD 150,000. An income test on the 'second' or lower income earner determines the FTB Part B amount. For second earners, every dollar of income (including income support payments) above AUD 5,183 a year reduces payment by 20 cents in the dollar. A second earner can still get some FTB Part B if their income is below AUD 26,390 a year if their youngest FTB child is under 5 years of age; or AUD 20,532 a year if their youngest FTB child is over 5 years of age. These income limits take into account the FTB Part B Supplement of AUD 354.05 per year that can only be paid after the end of the income year.

Lone parents automatically receive the maximum amount of FTB Part B if they earn less than AUD 150,000.

6.3 *Tax treatment of benefit and interaction with other benefits*

Family Tax Benefits and Newborn Supplement are not taxable.

Parental Leave Pay and Dad and Partner Pay are taxable. Parental Leave Pay counts as income for other family payments but does not count as income for income support payments such as Parenting Payment.

If parents choose to receive Parental Leave Pay, they will not be eligible for FTB Part B or the dependent spouse tax offset during the 18-week Paid Parental Leave period.

7. **Childcare for pre-school children**

The table below shows the proportion of Australian children using 'approved' child care in June 2011, by type of child care and age of child:

Ages	Before and After School Care (%)	Centre Based Long Day Care (%)	Family Day Care (%)	Occasional Care (%)	Total (%)
0-4 years of age	0	31	4	2	37
5-11 years of age	13	1	1	0	15
All children 0-11 years	8	14	2	1	24

Note: Children aged over 11 years have been excluded from this analysis.

Source: ABS, Childhood Education and Care, Australia, June 2011, Catalogue number 4402.055003DO010_201106

School Starting Age

Compulsory and minimum school starting ages are determined in each Australian state and territory and may vary. In New South Wales, the minimum starting age is five by 31 July in the year of entry and the compulsory starting age is six.

7.1 *Out-of-pocket childcare fees paid by parents*

The Australian Government does not set or regulate the fees that parents are charged by individual child care services. Variation in costs occurs as a result of factors including state and territory licensing requirements, award wages, and whether fees include charges for additional services such as nappies and meals. The median full-time long day care fee for centre-based care in the March quarter 2014 was AUD 385 per week (Source: Report on Government Services 2015).

Child care fees are not tax deductible, and are not taken into account when assessing entitlements for other benefits. A means tested fee subsidy, Child Care Benefit (CCB), is payable to eligible parents using CCB approved care. The rate of CCB depends on a number of factors.

In addition to CCB, the Australian Government provides the Child Care Rebate (CCR), which is not means tested. The CCR covers 50 per cent of the family's out-of-pocket child care costs (after the CCB entitlement is deducted) for CCB approved children whose parents meet the work, training, or study test at some time during a week or have an exemption, up to an annual cap per child per year. The annual limit for CCR payable for child care costs incurred in 2013-14 is AUD 7,500 per child per year.

8. Employment-conditional benefits

Not applicable.

9. Lone-parent benefits

Lone parents are entitled to PP (Single), YA or NSA, depending on their circumstances (see Section 3). They are also entitled to Income Support Bonus (see Section 3) and may receive Pharmaceutical and Telephone Allowances. Refer to Section 9.2.1.1 for additional irregular payments.

9.1 *Conditions for receipt*

See Section 3.

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

The maximum rate of PP (Single) is AUD 713.20 per fortnight. The maximum rate includes an additional pension supplement which is currently AUD 21.90 per fortnight. PP (Single) recipients can also receive an Energy Supplement which is currently AUD 11.90 per fortnight and an Income Support Bonus (see Section 3.2.1). Other allowances available to PP (Single) recipients include the Telephone Allowance of AUD 26.40 per quarter and the Pharmaceutical Allowance of AUD 6.20 per fortnight. Both of these allowances are also available to recipients of NSA and YA who are the single principal carer for a dependent child. Lone parent income support recipients are also entitled to the maximum rate of FTB Part A (unless the rate is reduced by the maintenance income test) and FTB Part B.

9.2.1.1 *Irregular additional payments*

As outlined in Section 3.2.1.1.

9.2.2 *Income and earnings disregards*

PP (Single) has an income free area of AUD 180.60 per fortnight plus AUD 24.60 for each additional dependent child after the first. Income above the free area reduces payment at the rate of 40 cents for each dollar. A lone parent with one child is entitled to a part payment if their income is below AUD 1,993.35 a fortnight plus AUD 24.60 for each additional child. The rate of PP (Single) may also be affected by the Working Credit scheme that operates as outlined in Section 3.2.

Recipients of NSA and YA who are the single principal carer for a dependent child have an income free area of AUD 100 per fortnight. Income above this amount reduces payment at the rate of 40 cents for each dollar.

9.3 *Tax treatment of benefit and interaction with other benefits*

Parenting Payment is assessable income for tax purposes. PP (Single) recipients are eligible for Seniors and Pensioners Tax Offset (SAPTO).

9.4 *Benefit duration*

There are no restrictions on the duration of payment.

10. Tax system

As the Australian income tax year commences on 1 July, the following relates to the 2013-14 income tax year.

10.1 *Income tax*

10.1.1 *Tax allowances and credits*

10.1.1.1 Standard allowances

Basic reliefs: Taxable income earned up to AUD 18,200 per year by resident taxpayers is subject to tax at a zero rate.

10.1.1.2 Standard tax credits

Standard marital status relief: A taxpayer may claim a tax credit where he or she contributes to the maintenance of a dependent spouse (legal or de facto), who was born before 1 July 1952. For eligible families, during 2013-14, this credit amount was AUD 2,471 for a dependent spouse without dependent children. The credit reduces by AUD 1 for every AUD 4 by which the spouse's adjusted taxable income exceeds AUD 282. An income test applies so that the offset is not available where the primary earner's adjusted taxable income exceeds AUD 150,000.

Relief for low income earners: A tax credit of AUD 445 is available for taxpayers whose taxable income does not exceed AUD 37,000 per year. This credit is reduced by 1.5 cents for every dollar where the taxpayer's taxable income exceeds AUD 37,000 per year, and no tax credit is available once the taxpayer's taxable income equals AUD 66,667 per year.

The **Beneficiary Tax Offset** is generally available to recipients of taxable income support payments that are classified as 'social security benefits'. The benefits included are Newstart Allowance, Parenting Payment

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(Partnered), Youth Allowance, Widow Allowance, Mature Age Allowance, Partner Allowance, Sickness Allowance, Special Benefit and Austudy Payment. The tax offset is calculated using the following formula:

- If the person's benefit amount is not more than AUD 37,000 per year:
Beneficiary Tax Offset = 15 per cent of the difference between the amount of benefit or allowance received per year and AUD 6,000.
- If the person's benefit amount is more than AUD 37,000 per year:
Beneficiary Tax Offset = (the same formula as above) + 15 per cent of the difference between the amount of benefit or allowance received per year and AUD 37,000.

The *Seniors and Pensioners Tax Offset* (SAPTO) is available to people who receive an Australian government pension, or are of Age Pension age, and have taxable income for the relevant financial year less than the applicable cut-out threshold (see below) and were not in gaol for the whole of the financial year. PP (Single) recipients are eligible for SAPTO.

Seniors and Pensioners Tax Offset

AUD per year

	Maximum tax offset amount	Shade-out threshold	Cut-out threshold
Single	2 230	32 279	50 119
Couple			
General (each)	1 602	28 974	41 790
Separated due to illness (each)	2 040	31 279	47 599

The shade-out threshold is the maximum income at which taxpayers eligible for the SAPTO will receive the maximum tax offset amount. The tax offset reduces by 12.5 cents for each dollar of income in excess of the shade-out threshold.

The cut-out threshold is the level of income of a single person or a couple where the SAPTO is reduced to nil.

Members of a couple who are both eligible to receive the SAPTO may transfer the 'unused amount' to their partner if their partner is also eligible for the SAPTO. A higher level of SAPTO is available to eligible members of a couple who are separated due to illness.

10.1.2 *Income tax schedule (central government income tax)*

General rates of tax - resident individuals - 2013-14

Taxable income per year (AUD)		Tax at general rates on yearly total taxable income
Not less than	Not more than	
0	18,200	NIL
18,201	37,000	NIL + 19c for each AUD1 in excess of AUD18,200 per year
37,001	80,000	AUD3,572 per year + 32.5c for each AUD1 in excess of AUD37,000 per year
80,001	180,000	AUD17,547 per year + 37c for each AUD1 in excess of AUD80,000 per year
180,001 and over		AUD54,547 per year + 45c for each AUD1 in excess of AUD180,000 per year

A Medicare Levy is imposed on the taxable incomes of resident taxpayers. In 2013-14, the levy generally applies at the rate of 1.5 per cent of the taxable income of an individual. Certain thresholds are applied before the levy is imposed.

Medicare Levy thresholds (AUD per year) - 2013-14

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Individuals	Lower Income Limit	Upper Income Limit
Eligible for the SAPTO	32,279	37,975
All other taxpayers	20,542	24,167
Families	Lower Income Limit	Upper Income Limit
Individuals with a spouse and/or dependants eligible for the SAPTO	46,000	54,117
Individuals with dependants not eligible for the SAPTO	34,367	40,431
Add for each dependent child	3,156	3,713

Where taxable income exceeds the lower income limit but does not exceed the higher income limit, 'shading in' provisions apply under which the levy payable is 10 per cent of the excess of taxable income over the lower income limit.

10.1.3 *State and local income taxes*

In Australia, no states or territories levy a tax based on a resident's income.

10.2 *Treatment of family income*

Not applicable.

10.3 *Social security contributions and payroll taxes*

Part of Australia's retirement income system is the provision of compulsory employer contributions (the Superannuation Guarantee system). The Superannuation Guarantee requires employers to pay 9.25 per cent on top of employees' gross ordinary time earnings to an approved superannuation fund, provided they earn more than AUD 450 per month. In each quarter, any earnings beyond a threshold are not covered by the Superannuation Guarantee. In the 2013-14 tax year, this threshold was AUD 48,040 per quarter. These contributions are not reflected in the 'Tax-Benefits' calculations because they are not a form of taxation (they are not an unrequited transfer to general revenue).

There is a Medicare levy which is based upon taxable income (see Section 10.1.2).

10.3.3 *Payroll taxes*

Australian State Governments levy payroll taxes on wages, cash or in kind, paid by larger employers to their employees. The rates of payroll tax, thresholds and deductions differ across states. In New South Wales, the state with the largest population, the payroll tax rate was 5.45 per cent in 2013-14. The employer is entitled to an exemption from tax, or a pro-rated payroll tax threshold, on wages paid in New South Wales up to a maximum of AUD 750,000. The exempt amount is reduced based on the proportion of the employer's New South Wales pay-roll to total Australian payroll.

Pay-roll tax revenue is not used to fund social security payments. It forms part of the consolidated revenue of state governments, which do not deliver social security.

10.4 *Treatment of particular group*

10.4.1 *Young persons*

Persons under 18 years of age are taxed differently on non-work income.

10.4.2 Older workers

A Mature Age Workers Tax Offset is available to eligible taxpayers who are Australian residents for tax purposes, were born before 1 July 1957, and who have (within certain limits) received net income from working.

11. Part-time work

All income support recipients are able to engage in part-time work while receiving payment, subject to the operation of the relevant payment's income tests (see Sections 3.2.2, 4 and 9.2.2). While a person in full-time paid work is not eligible to receive unemployment payments, a person in full-time work is not excluded from all income support payments. For example, a part-rate of PP (Single) may be paid to a lone parent with one child if income is below AUD 1,993.35 per fortnight.

11.1 *Special benefit rules for part-time work*

There are no benefit rules relating to part-time work.

11.2 *Special tax and social security contribution rules for part-time work*

There are no special tax or social security contribution rules for part-time work.

12. Policy developments

12.1 *Policy changes introduced before 1 July 2014*

Family Tax Benefit

From 1 May 2014, families can no longer receive FTB Part A for a child who is aged 16 to 19 and not in full-time secondary study.

Energy Supplement

From 1 July 2013, the Energy Supplement (formerly known as the Clean Energy Supplement) replaced the Clean Energy Advance that was payable as part of Family Tax Benefit Part A and Part B.

From 1 January 2014, the Energy Supplement (formerly known as the Clean Energy Supplement) replaced the Clean Energy Advance that was payable for most youth and student payment recipients and Disability Support Pension recipients aged under 21 without dependent children.

Pensioner Education Supplement – Extension to all single principal carers on Newstart Allowance

From 1 January 2014, the Pensioner Education Supplement (PES) became available to all single principal carers receiving NSA, subject to meeting the eligibility requirements. Previously only single principal carers who were receiving PES immediately prior to transferring from PP Single to NSA due to the age of their youngest child were eligible to receive PES while on NSA.

12.2 *Policy changes introduced since 1 July 2014*

Unemployment Assistance

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The Government has announced that it will:

- Extend the qualifying age for YA (Other) to 24 and the NSA age to 25.
- Introduce a waiting period for all new jobseekers up to 30 years of age claiming Newstart, Youth Allowance (other) or Special Benefit who have a full-time work capacity. These claimants may wait to up to six months before they receive payments, depending on work history. After having served this initial waiting period they may qualify for income support for next six months after which an exclusion period for a further six months is applied. This cycle will continue until they leave payment or turn 30 years of age.

Family Tax Benefit

A number of changes to FTB are legislated to take effect from 1 July 2015:

- the primary earner income limit will be reduced from AUD 150,000 to AUD 100,000;
- the FTB Part A large family supplement will be limited to families with four or more children; and
- the FTB Part A per-child add-on to the higher income free area for each additional child after the first will be removed.

The Government has also announced a number of changes to FTB that will take effect from 1 July 2015 that are not yet legislated:

- FTB Part A supplement will be reduced to AUD 602.25 per child and FTB Part B supplement will be reduced to AUD 302.95;
- FTB Part B will be limited to families with children under six years of age; and
- a new allowance for lone parents on the maximum rate of FTB Part A for each child aged six to 12 years inclusive, and not receiving FTB Part B will be introduced.

Schoolkids Bonus

From 1 January 2015, an income test will apply. Eligible families and young people with an adjusted taxable income of AUD 100,000 or less will be paid Schoolkids Bonus. This additional income test will not apply where the payment that triggers eligibility for the Schoolkids Bonus is not already subject to an income test.

From 1 January 2017, the Schoolkids Bonus payment will cease to be paid.

Income Support Bonus

From 1 January 2017, the Income Support Bonus payment will cease to be paid.

Pensioner Education Supplement

The Government has announced that it will abolish the Pensioner Education Supplement.

Education Entry Payment

The Government has announced that it will abolish the Education Entry Payment from.

Superannuation

From 1 July 2017, the Low Income Superannuation Contributions (LISC) from the Government will no longer be paid.

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The rate of the superannuation guarantee will be left unchanged at 9.5 per cent until 1 July 2021, when it will increase to 10 per cent then continue gradually increasing to 12 per cent by 1 July 2025.

Temporary Budget Repair Tax Levy

From 1 July 2014 a levy at a rate of 2 per cent for taxable incomes over \$180,000 will be payable. The levy will cease to apply from 1 July 2017.

Medicare Levy

From 1 July 2014 the Medicare levy rate will increase to 2 per cent.

General rates of tax

From 1 July 2015, the Government has announced that it will:

- keep the tax free threshold at AUD 18,200; and
- keep the second personal marginal tax rate at 32.5 per cent.

Low Income Tax Offset (LITO)

From 1 July 2015, the Government has announced that it will:

- keep the maximum value of the LITO at AUD 445;
- keep the withdrawal rate of the LITO at 1.5 per cent; and
- keep the threshold below which a person may receive LITO at a taxable income of AUD 66,667.